UK: Budget will test Burnham’s big ambitions

送信者: EG Europe 受信日時: 2026-09-02 23:35

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Burnham risks fueling expectations that the UK’s dire fiscal position cannot support. The new prime minister has had a good start: Labour has drawn le||||||||||||||

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UK: Budget will bring Burnham’s big promises up against fiscal reality

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Prime Minister Andy Burnham’s biggest test this fall will be juggling voter-friendly measures and fiscal discipline in the budget Chancellor John Healey will present on 28 October.
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Burnham is preparing the ground for limited tax increases in the October budget to fund a cost-of-living package, including help with energy bills, with options such as reforming local council tax, bringing capital gains tax into line with income tax, and imposing tax hikes on banks as well as oil and gas companies.
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We now assign a 35% probability to a 2027 election that would allow the prime minister to secure his own mandate and shed his party’s 2024 pledges not to raise income tax, National Insurance, or VAT, though Burnham would need to see a solid Labour polling lead over Reform to make that call.

Burnham risks fueling expectations that the UK’s dire fiscal position cannot support. The new prime minister has had a good start: Labour has drawn level with Nigel Farage’s Reform UK in the opinion polls (23%), which also show Burnham is the most popular party leader in the country—a stark contrast with his predecessor, Keir Starmer. Burnham has tried to show voters he is on their side by announcing low-cost measures to alleviate cost-of-living pressures, including scrapping VAT on electricity bills and setting a £2 cap on bus fares.

In his first statement to the House of Commons as prime minister on 31 August, Burnham promised to “make life more affordable.” But allies fear his honeymoon period will soon end as his vibes-based debut gives way to tough decisions. “The biggest danger is that he overpromises,” one adviser told us. The constraints were illustrated when his much-heralded £45-a-year tax cut on electricity bills was wiped out by a £60 rise in the energy price cap to an average £1,723 annually. A further £150 rise is expected in January.

His biggest test will be juggling voter-friendly measures and fiscal discipline in the October budget. Burnham and Healey appear to want a relatively low-key affair to avoid unsettling the financial markets and risking even higher government borrowing costs when debt interest payments are running at £109 billion a year. “The markets are the top priority,” a Eurasia Group contact close to Healey said.

However, markets will be watching closely to see whether the chancellor bows to pressure from Labour members of parliament (MPs) to use flexibility under the government’s fiscal rules to borrow about £9 billion more for infrastructure projects via public bodies such as the National Wealth Fund. Although supporters insist this would not be extra borrowing as it would boost growth, in the current environment of rising government bond yields, markets will need to see a credible plan to be convinced.

Chancellor’s allies insist streamlined package will include a significant cushion against future shocks. Yet the £23.6 billion of headroom the government had in March against its fiscal rule to balance day-to-day spending and income by 2029-2030 has fallen by about £10 billion owing to the economic impact of the Iran war and Burnham’s initial £2 billion of pledges.

In addition, Healey must find £4.7 billion to fund the defense investment plan but will defer raising the defense budget to 3% of GDP by 2030—the cause that prompted his resignation as Starmer’s defense secretary in June—until a government-wide spending review next spring. Funding Burnham’s flagship plan to reform social care for the elderly and disabled will also be shelved.

Burnham is laying ground for targeted tax hikes in October to fund cost-of-living relief, including help with energy bills. That assistance might be limited to a £2-billion extension of the £150 warm homes discount for low-income households. The prime minister wants the budget’s main theme to be devolving fiscal powers to mayors and local authorities. Whitehall insiders insist there will be no repeat of the tax increases in Rachel Reeves’s two budgets (£40 billion and £26 billion respectively). The difference between the sizeable fiscal gap and the proposed measures suggest that significant additional measures will still be necessary.

Labour MPs and trade unions are urging Healey to bring capital gains tax into line with income tax and to raise taxes on banks and oil and gas companies after they reported huge profits. Healey might be tempted to reform local council tax by adding new bands for the most expensive properties, which would add to Reeves’s mansion tax on homes worth more than £2 million from April 2028. These revenue measures would likely prove insufficient.

Burnham’s limited room for maneuver has forced a rethink on the potential £2-billion public takeover of struggling Thames Water. His soft-left allies are increasingly worried he will not have the fiscal means to deliver on his vow to enact the most significant political and economic changes in 40 years. The prime minister will try to reassure Labour doubters in his speech to the party’s annual conference in Liverpool on 29 September. Those around him insist the major event this fall will not be the budget but the ten-year plan for national renewal that Burnham intends to issue by the end of the year.

We now assign a 35% chance of a 2027 election. Although Burnham has ruled out a general election this year, he is likely keeping the option open to call a contest next spring to win his own mandate and escape Labour’s 2024 manifesto pledges not to raise income tax, National Insurance, or VAT. To trigger a vote, Burnham would want to see a Labour polling lead of five to seven percentage points, Reform's current woes continuing to weigh on its popularity, and right-of-center voters remaining split between Farage's party and the Conservatives.

Happy to discuss,

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